Procedures to be performed:

1. Identify and map the organizational structure of XYZ LLC, including key individuals responsible for interacting with DEF Pvt. Ltd.
2. Review all sales transactions from XYZ to DEF, matching them to DEF's purchase records.
3. Verify all invoices raised by XYZ for capital goods sold to DEF.
4. Collect and review proof of delivery documents for the shipments sent to DEF.
5. Determine whether XYZ used any freight forwarding agents and verify authorization letters, if applicable.
6. Review XYZ's internal sales and billing process to identify any inconsistencies or red flags.
7. Investigate the cash receipts process to identify any inconsistencies or red flags.
8. Reconcile accounts receivable ledgers with bank statements to verify proper and timely recording of transactions.

Supporting documentation to be collected:

1. Organizational chart of XYZ LLC and names/designations of staff involved in DEF transactions.
2. Copies of all sales invoices issued by XYZ to DEF.
3. Delivery confirmation documents (e.g., signed delivery slips, freight documents).
4. Freight agent authorization letters (signed and stamped), if freight agents are used.
5. Bank statements reflecting payments received from DEF Pvt. Ltd.
6. Accounts receivable ledgers showing receivables and collections from DEF, linked to corresponding transactions.